CROSS-BORDER INVESTMENT ENVIRONMENT

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AGENDA

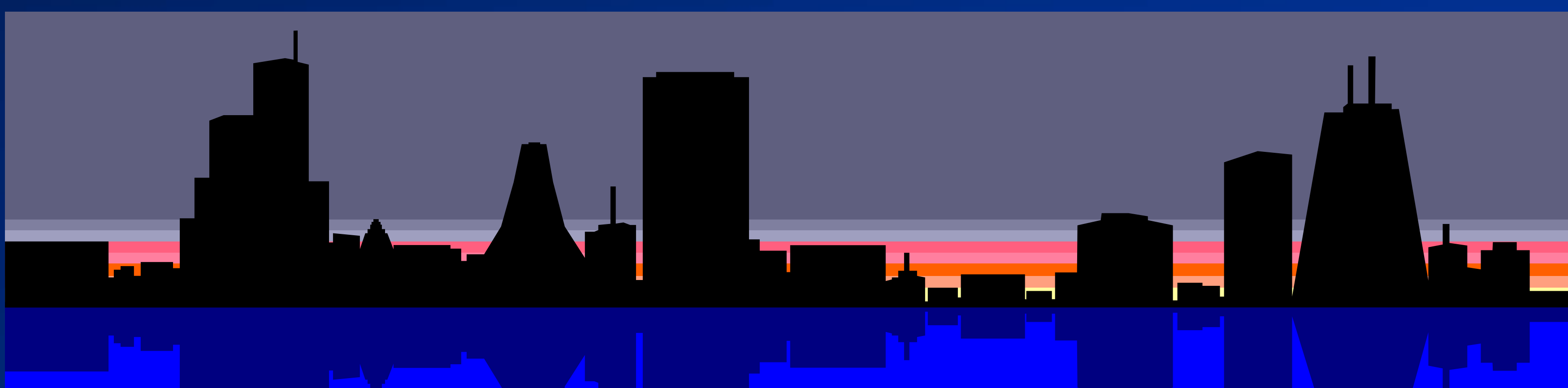
Concept and Trend of FDI

Theory of FDI

Political Economy of FDI

Implications for Businesses

Concept and Trend of FDI



Concept of FDI

- FDI (Foreign Direct Investment) occurs when a firm invests directly in assets in a foreign country for *management and control purposes*.
- FDI includes buying shares of an enterprise in another country, reinvesting earnings of a foreign-owned enterprise in the country where it is located, and parent firms extending loans to their foreign affiliates.
- IMF guidelines: Foreign investment that accounts for at least 10 percent of the foreign firm's voting stock of shares. (http://www.worldbank.org/depweb/english/beyond/global/glossary. Html)
- MNC/MNE: A firm that engages in FDI.
- FPI (Foreign portfolio investment): Foreign investment with no managerial involvement

Concept of FDI

- FDI Flow (FDI outflows/inflows):

  The amount of FDI undertaken over a period of time

- FDI Stock:

  The total accumulated value of FDI at a given time

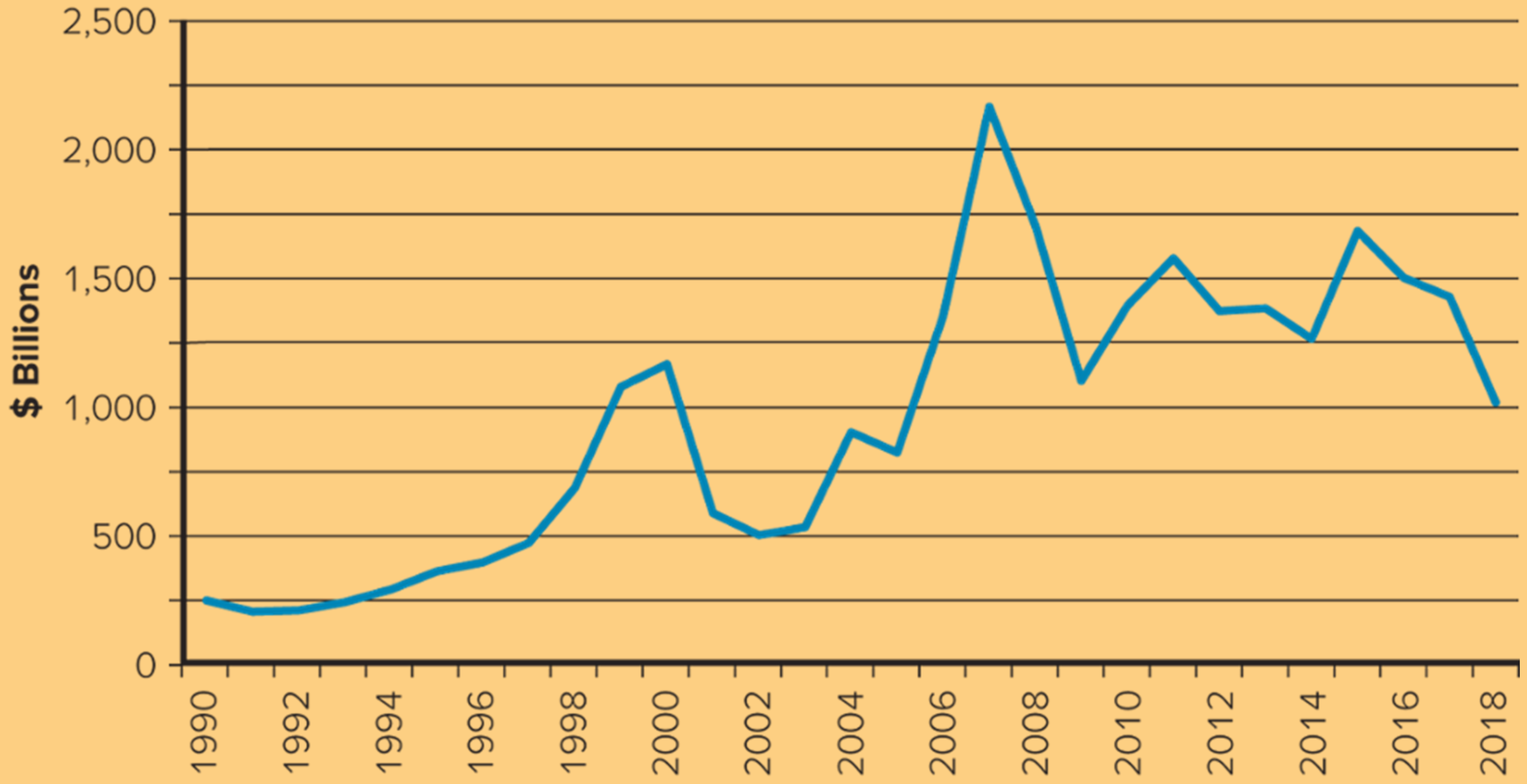
- Horizontal FDI:

  FDI in the same value-chain activities

- Vertical FDI:

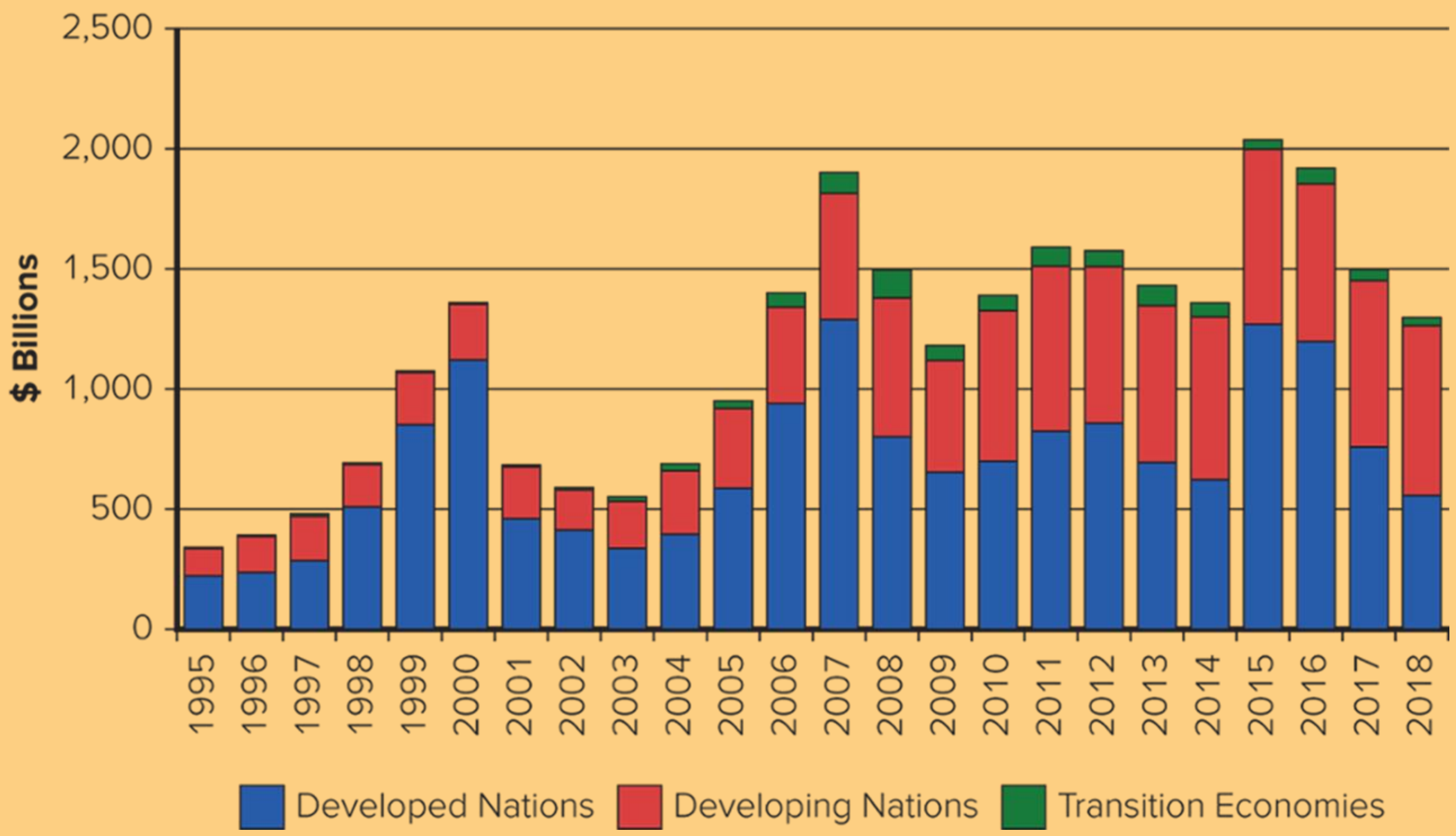
  FDI in upstream or downstream value-chain activities

Trend of FDI: Outflows



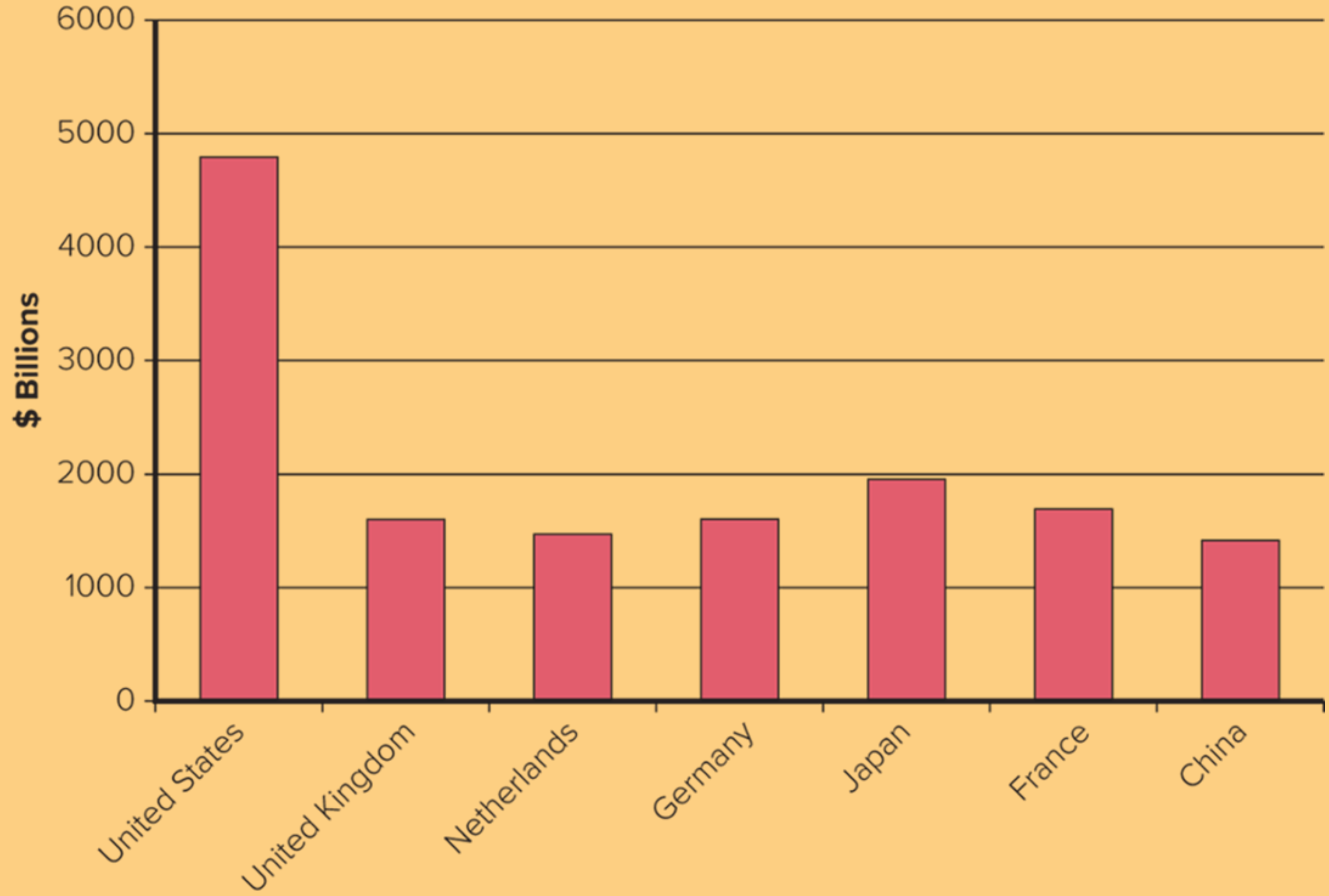
Source: UNCTAD statistical data set, http://unctadstat.unctad.org

Trend of FDI: Inflows by Region



Source: UNCTAD statistical data set, http://unctadstat.unctad.org

Cumulative FDI Outflows (1999-2019)



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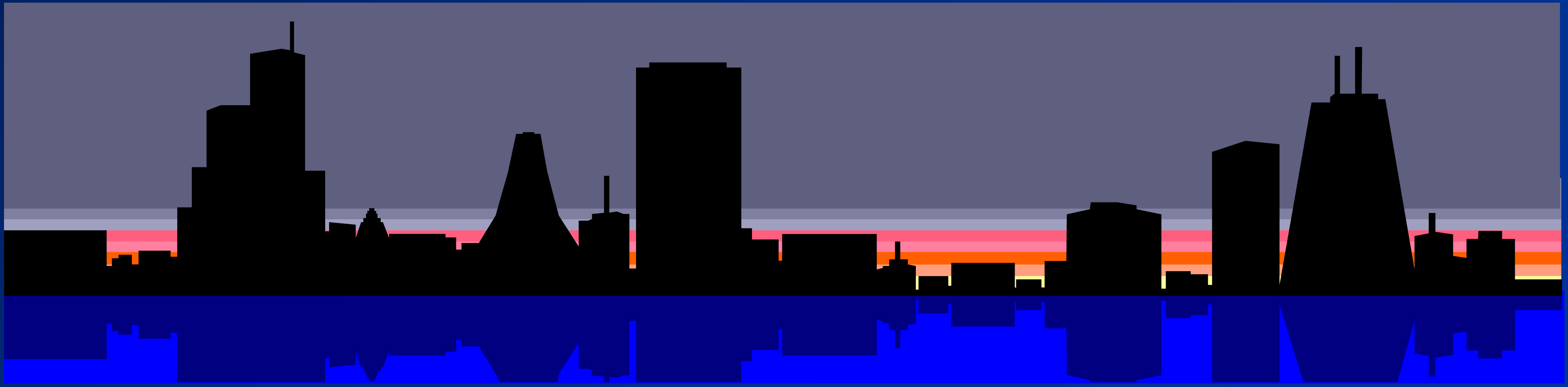
Theory of FDI



Internalization Theory

- FDI over exporting

  - High transportation costs & trade barriers

- FDI over licensing or franchising

  - Need to retain strategic control over operations to maximize profitability

  - Need to protect technological know-how

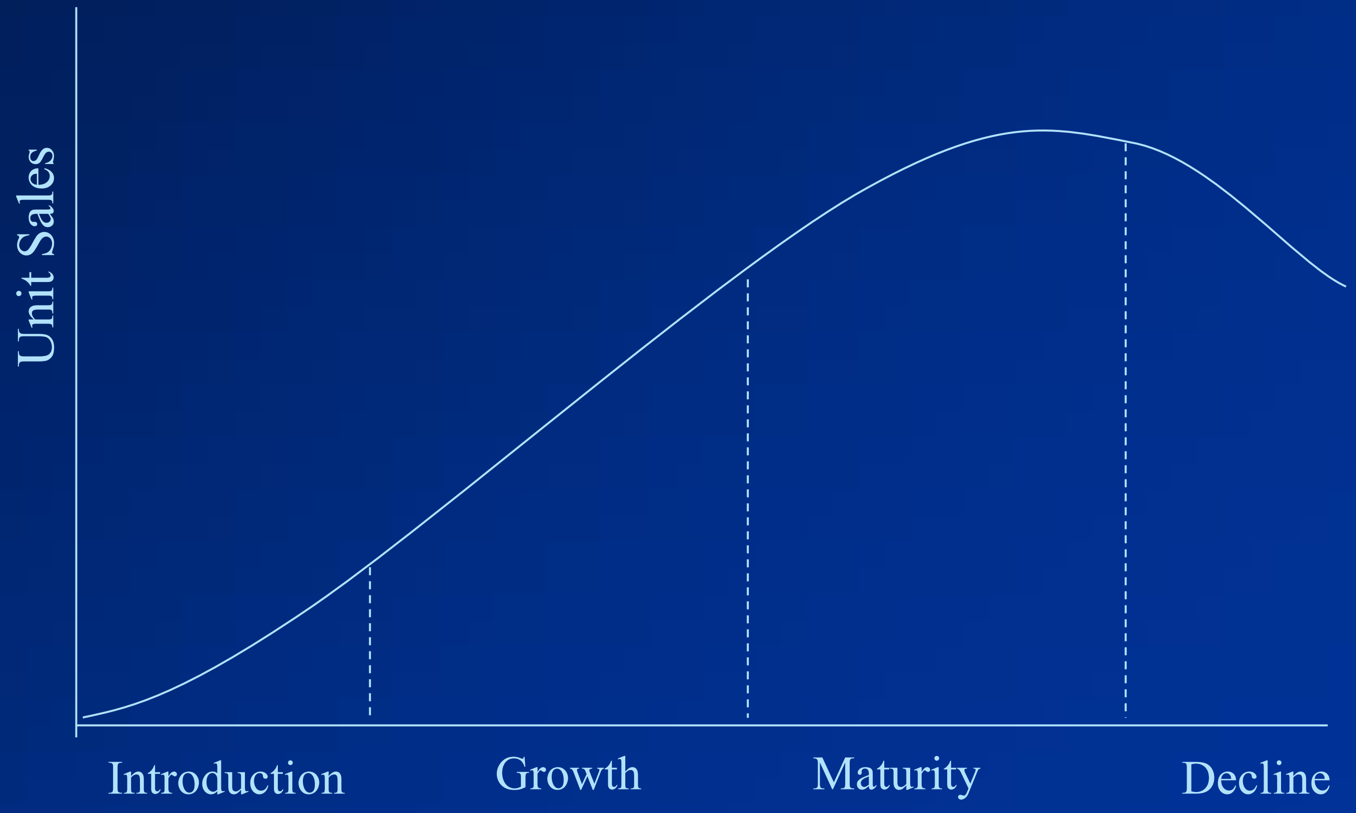
  - Capabilities not suitable for licensing/franchising

Strategic Behavior Theory

- FDI flows are a reflection of strategic rivalry between firms in the global marketplace
- Firms tend to follow suit as their competitors make FDI.
- This theory explains the relationship between FDI and rivalry in oligopolistic industries well

Product Life Cycle Theory

- Firms undertake FDI at particular stages in the life cycle of a product they have pioneered.



Eclectic Theory

- Ownership advantage:
  - Unique firm-specific advantage, including brand, technology, economies of scale, management know-how, marketing, etc
- Location advantage (target location):
  - Land, labor, capital, know-how, host country policies, natural resources, unique supplier characteristics
- Internalization advantage:
  - Transaction costs of an arms-length relationship higher than managing the activity within the MNE's boundaries

Motivation/Objectives of FDI

- Resource-seeking FDI
  - To seek and secure resources, e.g. minerals, raw materials, land and building costs,
  - SK energy's FDI in Peru for LNG (liquefied natural gas)
- Market(End-Product)-seeking FDI
  - To identify and exploit new markets for the firms' finished products (Market size and per capita income, Market growth, Access to regional and global markets, Country specific consumer preferences, Structure of markets)
  - Automotive MNEs have invested heavily in China

Motivation/Objectives of FDI

- Efficiency-seeking FDI

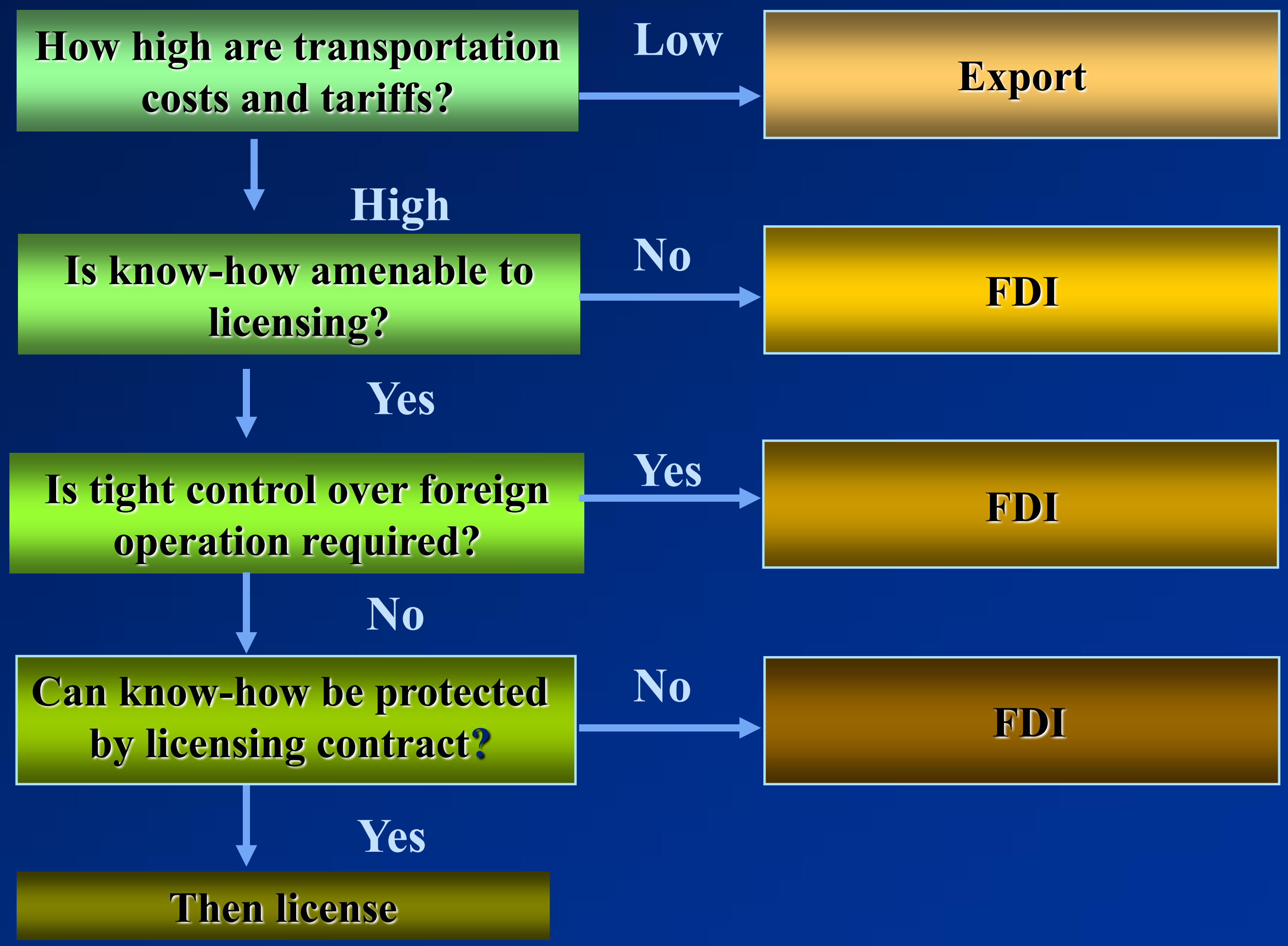
  - To seek efficiency or cost reduction through FDI

- Asset-seeking FDI

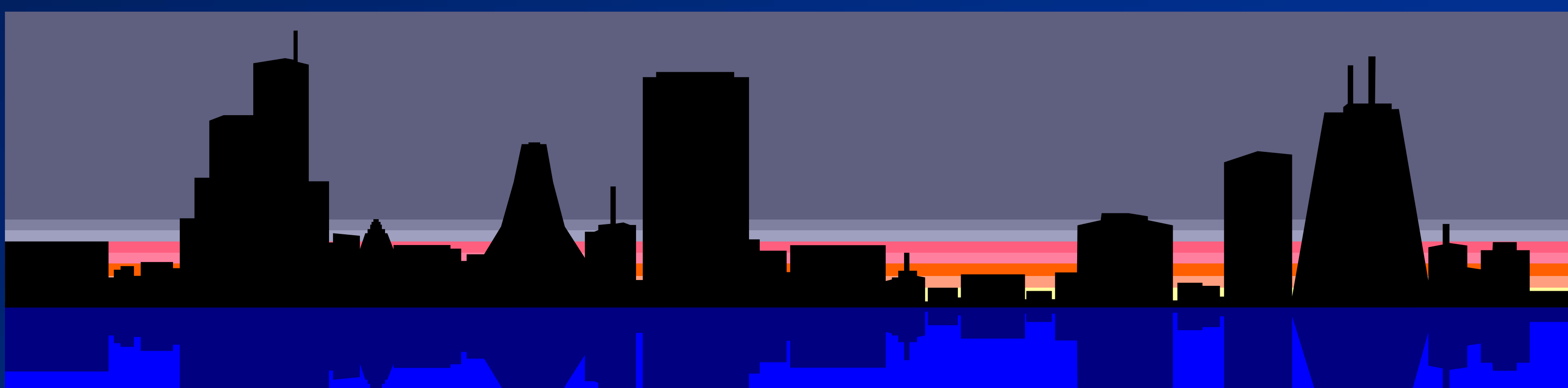
  - To seek strategic assets through FDI

  - Acquisition of local capabilities, including R&D, knowledge and human capital, market knowledge; Physical infrastructure (ports, roads, power, telecommunications), etc.

FDI Decision Framework



Political Economy of FDI



Political Ideology toward FDI

Ideology	Characteristics	Host-Government Policy Implications
Radical View	Marxist roots Views the MNE as an instrument of imperialist domination	Prohibit FDI Nationalize subsidiaries of foreign-owned MNEs
Free Market	Classical economic roots Views the MNE as an instrument for allocating production to most efficient locations	No restrictions on FDI
Pragmatic Nationalism	Views FDI as having both benefits and costs	Restrict FDI where costs outweigh benefits Bargain for greater benefits and fewer costs Aggressively court beneficial FDI by offering incentives

Effects of FDI on Host Country

- Benefits
  - Resource transfer (technology, managerial skills, capital, etc.)
  - Increased employment
  - Beneficial effect on the balance-of-payments (BOP)

    Import substitution; initial capital investment, etc
  - Competition and economic growth
- Costs
  - Adverse effects on BOP

    MNEs repatriation of profits and capital outflow;

    Importation of production input
  - Potential threat to domestic firms
  - Threat to national sovereignty and autonomy

    Loss of economic independence

Effects of FDI on Home Country

- Benefits

  - Improves BOP for inward flow of foreign earnings

  - Positive employment effect from increased exports

  - Repatriation of skills and know-how

  - Frees up employees and resources for higher value activities

- Costs

  - Negative effect on BOP

    Initial capital outflow; sell back to home market

  - Loss of employment to overseas market

Policy Instruments toward FDI:

- Encouraging Instruments:
  - Tax incentives (Host)
  - Low interest rates (Host)
  - Stable government and stable policies (Host)
  - Risk insurance (Home)
  - Elimination of double taxation (Home)
- Discouraging Instruments:
  - Ownership restraints (Host)
  - Performance requirements (Host)
  - Limit capital outflows (Home)
  - Manipulate tax code to encourage domestic investment (Home)
  - Political restrictions on investing in certain countries (Home)

Bargaining Between MNEs and Host Governments

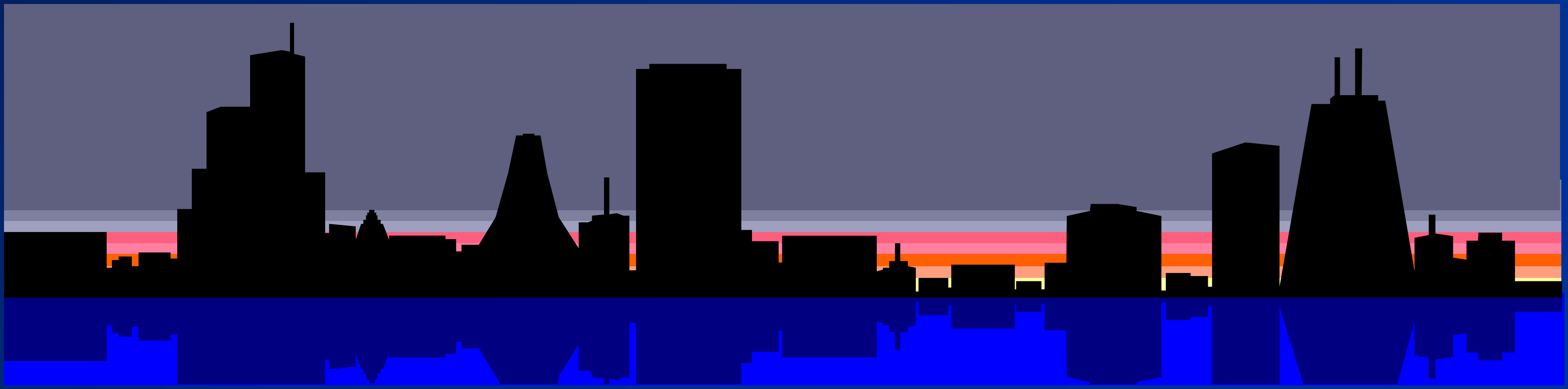
- Like other business transactions, FDI involves bargaining between MNEs and host governments.
- MNEs prefer the minimal intervention and the maximum incentives from host governments, while host governments prefer a certain level of control and a minimum level of incentives.
- The actual terms and conditions of FDI will be determined by the relative bargaining power of these two parties.
- Skills in negotiation are critical in the field of FDI as in other business transactions.

Agreements on FDI

Efforts to Reduce FDI disputes and Promote FDI:

- By mid-1990s, bilateral investment treaties (more than 1,000) were made, mostly with developing countries, to safeguard the investment of nationals of advanced countries
- Little progress was made by multilateral efforts until the Uruguay Round(1986-94) covering investment issues on top of trade issues.
- In the Uruguay Round, provisions on Trade Related Investment Measures (TRIMS), which prohibit governments from intervening in foreign investment such as requiring local content, were made and placed in the jurisdiction of WTO.
    - For the telecommunication industry, 69 countries reached an agreement in 1996 that included the rights of foreign firms to participate in their markets.

Implications for Businesses



Implications for Businesses

- Evaluate carefully whether FDI is justified as an alternative to exporting and licensing/franchising

  - Exporting is preferable to licensing and FDI as long as transportation costs are minor and tariff barriers are trivial.

  - As transportation costs/tariff barriers increase, licensing is preferable to FDI, other things being equal, since FDI is more costly and risky than licensing.

  - FDI works best when the following condition(s) exists:

    A firm has valuable know-how that needs to be completely protected.

    (e.g., high-tech companies)

    A firm needs tight control over a foreign entity's business operations.

    (globally integrated companies like Toyota)

    A firm's know-how is highly tacit or embedded.

    (tacit knowledge like Toyota production system)

Implications for Businesses

- A host government's attitude toward FDI is an important factor for FDI decisions.
- Be aware of other world and national institutional factors (both constraints and facilitators) governing FDI and enhance legitimacy in host countries
- Bargaining between MNEs and host governments becomes important for FDI. And the relative bargaining power of these two parties will determine the actual terms and conditions of FDI.
- Firms are operating within the context of FDI, and they have room for influencing the context.
- All these world and national institutions are likely to facilitate the free flows of FDI, which in turn will promote the phenomenon of globalization.